

Johnstone Supply CNY
HEALTH REIMBURSEMENT ARRANGEMENT
SUMMARY PLAN DESCRIPTION

Table of Contents

1. Plan Purpose
2. Who is Eligible
3. When you May Participate
4. Schedule of Benefits
5. How Health Reimbursement Arrangements (HRAs) Work
6. Coordination with HSA Plans
7. Future of the HRA Account
8. COBRA Continuation Coverage
9. Family and Medical Leave
10. Uniformed Service Employment and Reemployment Rights Act
11. Non-FMLA and Non-USERRA Leaves of Absence
12. Qualified Medical Child Support Orders
13. Revised Definition of Dependent from the Working Families Tax Relief Act of 2005
14. Administrative Facts
 - (a) Plan Sponsor and Plan Administrator
 - (b) Classification and Funding
 - (c) Not a Contract of Employment
 - (d) Your Privacy Rights
 - (e) ERISA Rights Statement
15. Appendix

As used in this Summary Plan Description (SPD), “Your” means an active Employee as described under “Who is Eligible.”

1 PLAN PURPOSE

The purpose of the Company Health Reimbursement Arrangement Plan ("Plan") is to provide you with additional health coverage benefits. The benefits available under this Plan and other important information concerning the Plan, such as rules that must be satisfied before you become eligible and laws that protect your rights are outlined in this summary plan description.

2 WHO IS ELIGIBLE

See Schedule A for eligibility requirements with respect to the HRA.

3 WHEN YOU MAY PARTICIPATE

You are eligible to participate after any waiting period specified in Schedule A.

4 SCHEDULE OF BENEFITS

The Health Reimbursement Arrangement (HRA) benefits allow you to be reimbursed for certain out-of-pocket medical and prescription drug benefits which are incurred by you and your dependents.

The maximum allowed benefit each year is outlined in Schedule A, plus unused amounts from prior Coverage Periods, if any. The amount that can be carried forward to a later Coverage Period is listed in Schedule A.

Expenses are considered "incurred" when the service is performed, not necessarily when it is reimbursed. Any amounts reimbursed to you under the Plan may not be claimed as a deduction on your personal income tax return nor reimbursed by other health plan coverage.

5 HOW HEALTH REIMBURSEMENT ARRANGEMENTS (HRAs) WORK

Your employer has designated a specific amount of funds each Plan Year from which you may be reimbursed for eligible medical expenses that you have incurred during your Period of Coverage.

To receive reimbursement, you must complete a claim form and submit it along with your paid bills or other substantiation of expenses to the Plan Administrator. The Plan Administrator will provide you with acceptable forms for submitting these requests for reimbursement. In addition, you must submit to the Plan Administrator proof of the expenses you have incurred and that they have not been paid by any other health plan coverage. Please review the list of eligible medical expenses provided on Schedule A of this Summary Plan Description, as well as the list of any ineligible expenses listed on Schedule B of this Summary Plan Description. If your request qualifies as a benefit or expense that the Plan has agreed to pay, you will receive reimbursement soon thereafter up to the amount available in your HRA account.

You may submit expenses that you incur each "Coverage Period". A new "Coverage Period" begins each Plan Year.

6 COORDINATION WITH HSA PLANS

In conjunction with Federal Treasury regulations, a Participant's receipt of certain benefits of this HRA Plan may prevent the Participant from making contributions to his HSA during the Plan Year. Employees participating in an HSA plan may choose to elect an HSA-Compatible HRA so they may contribute to an HSA during the Plan Year. The HSA-Compatible HRA Option defines "Medical Care Expenses" as those expenses incurred by a Participant or his or her Spouse or Dependents for medical care, as defined in Code § 213(d) and limited in Schedules A and B of this Plan—provided, however, that such expenses are limited to vision care; dental care; or

preventive care; permitted insurance; and permitted coverage. Other expenses which would otherwise be qualified for reimbursement according to this Plan may be submitted to the HRA as claims which will count against the participant's HSA deductible. Once the HSA Deductible has been met "Medical Care Expenses" shall mean post deductible expenses incurred by a Participant and his or her Spouse or Dependents for medical care as defined in Code § 213(d) and limited in Schedules A and B of this Plan.

7 AMENDMENT AND TERMINATION

The Employer reserves the right to amend or terminate all or any part of this Plan at any time for any reason without notice. Any such amendment or termination shall be effective as of such date as the Employer shall determine. In the case of amendment or termination of the Plan, the Employer must reimburse all claims with dates of service prior to the date of amendment or termination that are approved by the Plan Administrator in accordance with terms of the Plan.

8 COBRA CONTINUATION COVERAGE (Generally applicable to groups of 20+ employees)

If you terminate employment, under Federal law, you, your spouse, and/or your covered dependents lose coverage under this Plan. You, your spouse, and/or your covered dependents may be entitled to continuation of health care coverage. The Plan Administrator will inform you of these rights if you lose coverage for any reason other than divorce, legal separation or a covered dependent ceasing to be a dependent. Generally, if your employer (and any related companies) employed twenty (20) or more employees "on a typical business day" in the preceding calendar year, health plan continuation must be made available for a period not to exceed eighteen (18) months if a loss of benefits occurs because of your termination of employment or reduction of hours, or for a period not to exceed three (3) years for any of the other reasons given in (2) and (3) below. Under certain circumstances, persons who are disabled at the time of termination of employment or reduction in hours and/or within the first 60 days of COBRA coverage may be eligible for continuation of coverage for a total of 29 months (rather than 18). You should check with the Plan Administrator for more details regarding this extended coverage. However, in certain circumstances, this continuation coverage may be terminated for reasons such as failure to pay continuation coverage cost, coverage under another employer's plan (whether as an employee or otherwise, provided the other employer's health plan does not contain any exclusion or limitation with respect to any pre-existing condition of the beneficiary unless the pre-existing condition limit does not apply to, or is satisfied by, the qualified beneficiary by reason of the group health plan portability, access and renewability requirements of the Health Insurance Portability and Accountability Act, ERISA or the Public Health Services Act), termination of the health plan, a "for cause" termination of coverage for reasons such as fraud, or you (or the person entitled to continued coverage) become enrolled in Medicare. However, if you become enrolled in Medicare, your covered dependents may still qualify for continuation coverage. The cost of continuation coverage must be paid by the individual choosing such coverage; however, the cost may not exceed 102% of the cost of the same coverage for a "similarly situated" employee or family member. When the continuation coverage for a disabled person is extended from 18 months to 29 months, the disabled person may be charged 150% (rather than 102%) of the cost of the coverage after expiration of the initial 18-month period.

1. If you would otherwise lose your health plan coverage under this Plan because of a termination of employment or a reduction in hours, you may continue the health plan coverage provided under this Plan.

2. Your spouse may choose continuation coverage for himself or herself if he or she loses group health coverage for any of the following reasons: (1) your death; (2) your divorce or legal separation; or (3) you become enrolled in Medicare
3. Your dependent children, including a child born to or placed for adoption with the Participant during the period of COBRA coverage, may choose continuation coverage for themselves if they lose group health coverage for any of the following reasons: (1) death of a parent; (2) your divorce or legal separation; (3) you become enrolled in Medicare; or (4) your dependent ceases to be a dependent child under the Plan.

It is your responsibility to notify the Plan Administrator of a divorce, legal separation or other change in marital status, change in a spouse's address, or a child losing dependent status under the plan, within sixty (60) days of the event. It is your Employer's responsibility to notify the Plan Administrator of your death, termination of employment or reduction in hours, the Employer's bankruptcy, or Medicare eligibility.

For purposes of this section the words "Dependent" and "Medicare" shall have the following meanings:

- "Dependent" means an individual who meets the definition of dependent under the Participating Employer health plan covering the Qualified Beneficiary. If you and your spouse are employed by the Employer, dependent children may generally only be covered by you or by your spouse, but not by both, at the discretion of the Plan Administrator.
- "Medicare" means the Health Insurance For the Aged and Disabled Act, Title XVIII of Public Law 89-97, Social Security, as amended.

9 FAMILY AND MEDICAL LEAVE (Generally applicable to groups of 50+ employees)
As an employee of Company, you may be entitled to, under the federal Family and Medical Leave Act (FMLA), up to 12 work weeks of unpaid, job-protected leave in any 12-month period. You may be eligible if you have worked for Company for at least one year, and for 1,250 hours during the previous 12 months. Such leave may be available for the birth and care of a newborn child, placement of a child for adoption or foster care, a serious health condition of a family member (child, spouse or parent) or a personal serious health condition.

As a participant in the Health Reimbursement Arrangement, you have while on leave under the FMLA the option to continue your health benefits on the same terms and conditions as immediately prior to your taking FMLA leave. You and your eligible dependents shall remain covered under this plan while you are on FMLA leave as if you still were at work. Your coverage will be maintained until you return to work or, if earlier, you notify Company that you will not return to work. If you choose not to remain covered under the plan while on FMLA leave, and subsequently return to work before, or at the end of FMLA leave, you and your eligible dependents may be reinstated in the HRA Plan, on the same terms that applied to the Participant prior to his or her taking the FMLA. More details on your FMLA rights and benefits while on FMLA leave should be found in your employer's employee handbook or by contacting your employer.

10 UNIFORMED SERVICES EMPLOYMENT AND REEMPLOYMENT RIGHTS ACT

A Participant who takes an unpaid leave of absence under the Uniformed Services Employment and Reemployment Rights Act of 1994 ("USERRA Leave"), may revoke his election to

participate under any group health insurance benefit offered under this Plan, for the remainder of the Plan Year in which such leave of absence commences. Such revocation shall take effect in accordance with such procedures as prescribed by the Plan Administrator. Upon such Participant's return from his or her USERRA Leave, the Participant may be reinstated in the Plan, on the same terms that applied to the Participant prior to his or her taking the USERRA Leave, and with such other rights to make enrollment changes as are provided to other Participants under the Plan. Notwithstanding the foregoing, a Participant on USERRA Leave shall have no greater rights to benefits for the remainder of the Plan Year in which the USERRA leave commences, as other Plan Participants.

11 NON-FMLA AND NON-USERRA LEAVES OF ABSENCE

A Participant who goes on a leave of absence that is not subject to FMLA or USERRA will be treated as having terminated participation.

12 QUALIFIED MEDICAL CHILD SUPPORT ORDERS

Generally, your Plan benefits may not be assigned or alienated however, an exception applies in the case of a "qualified medical child support order." A qualified medical child support order is a court-ordered judgment, decree, order or property settlement agreement in connections with state domestic relations law which either creates or extends the rights of an "alternate recipient" to participate in a group health plan, including this Plan, or enforces certain laws relating to medical child support. An "alternate recipient" is any child of a Participant who is recognized by a medical child support order as having a right to enrollment under a Participant's group health plan.

A medical child support order satisfies certain specific conditions to be qualified. You will be notified by the Plan Administrator, if it receives a medical child support order that applies to you, and the Plan's procedures for determining whether the medical child support order is qualified.

13 DEFINITION OF "DEPENDENT" REVISED BY THE WFTRA OF 2005

The definition of "Dependent" has been revised under Section 152 of the Code by the Working Families Tax Relief Act of 2005, (WFTRA), effective January 1, 2005. An individual is considered to be a dependent if he or she is a qualifying child or qualifying relative of the taxpayer. The following qualifying criteria now applies to be a "dependent child":

1. The individual has a specific family type relationship to the taxpayer
2. The individual does not provide more than half of his or her own support
3. The individual has the same place of residence as the taxpayer for more than half of the year
4. The individual does not turn age 19, (24 if a full-time student), by the end of the Plan Year

In addition, the following qualifying criteria applies to be a "dependent relative":

1. The individual has a specific family type relationship to the taxpayer
2. The individual is not a qualifying child of any other taxpayer
3. The individual receives more than half of his or her support from the taxpayer
4. The individual's annual gross income is less than the Section 151 limit (this criteria does not apply to health plans)

In the case of an individual who is permanently and totally disabled (as defined in Code Section 22(e)(3)) at any time during such calendar year, the age requirement for a qualifying child does not apply.

14 ADMINISTRATIVE FACTS

14(a) Plan Sponsor and Plan Administrator

The Plan is sponsored by Company defined in Exhibit 1. Company also acts as Plan Administrator. The Plan Administrator manages the overall operations of the Plan and decides all questions that come to it on a fair and equitable basis for participants and their Beneficiaries. If an Employee covered under the Plan has any questions about the Plan, the Employee should contact the Plan Administrator.

14(b) General Information

The plan number, effective date, and plan year of the Plan are shown in Exhibit 1.

14(c) Service of Legal Process

The Employer is the Plan's agent for service of legal process.

14(d) Classification and Funding

This employee benefit is a Health Reimbursement Arrangement as defined by Section 105 of the Internal Revenue Code. This Health Reimbursement Arrangement is funded solely by the Employer.

14(e) Not a Contract of Employment

No provision of the Plan is to be considered a contract of employment between you and Company or a Participating Employer. Company's rights with regard to disciplinary action and termination of any Employee, if necessary, are in no manner changed by any provision of the Plan.

14(f) Your HIPAA Privacy Rights - Use and Disclosure of Protected Health Information

Except for certain permitted uses and disclosures, the Privacy Rule issued by the federal government prohibits the HRA Plan from using or disclosing certain health information about you that is created or received by the HRA Plan without your written authorization. For additional information about your privacy rights, please either refer to the HRA Plan's Privacy Notice (Plan Document Section 7) or contact the HRA Plan's Privacy Official named in Exhibit 1.

Protected Health Information generally includes all information, whether written or oral, in connection with the HRA Plan that (1) is created or received by the HRA Plan; (2) relates to your past, present, or future physical or mental health, the provision of health care to you, or the past, present, or future payment for the provision of health care; and (3) identifies you or could be used to identify you.

If you wish to authorize the HRA Plan to use or disclose your PHI in a manner that is not otherwise permitted, you must submit a signed and completed authorization form to the HRA Plan. You may request a copy of the authorization form from your Employer.

14(g) Permitted Uses and Disclosures

The HRA Plan is permitted under the Privacy Rule to use or disclose your PHI without your authorization only for purposes related to:

- Health care treatment;
- Payment for health care;
- Health care operations; and
- Other specifically permitted exceptions.

For a complete list of permitted exceptions, please refer to the HRA Plan's Privacy Notice (Plan Document Section 7) or contact the HRA Plan's Privacy Official.

14(h) Disclosures to the Company

After the Company has certified to the HRA Plan that it is in compliance with the Privacy Rule, the HRA Plan may disclose PHI to the Company without your authorization to the extent that the PHI is necessary for the Company to perform HRA Plan administration functions. The HRA Plan may not disclose any more PHI to the Company than is necessary for the Company to fulfill its administration functions, and the HRA Plan may not disclose PHI to the Company for purposes of any employment-related actions or in connection with any other employee benefit provided by the Company.

To the extent that your PHI is disclosed to the Company, the Company will:

- Not use or further disclose PHI other than as permitted or required by the official HRA Plan document or as required by law;
- Ensure that any agents to whom the Company provides PHI (or certain electronic PHI) received from the HRA Plan agree to the same restrictions and conditions that apply to the Company with respect to PHI;
- Not use or disclose PHI for employment-related actions and decisions unless authorized by you;
- Not use or disclose PHI in connection with any other benefit provided by the Company unless authorized by you;
- Report to the HRA Plan's Privacy Officer any misuse or improper disclosure of PHI;
- Make PHI available to you in accordance with the requirements of the Privacy Rule;
- Make PHI available to you for amendment and incorporate any amendments to PHI in accordance with the requirements of the Privacy Rule;
- Make available to you the information required to provide an accounting of disclosures in accordance with the requirements of the Privacy Rule;
- Make internal practices, books, and records relating to the Company's use and disclosure of PHI available to the Secretary of Health and Human Services for the purposes of determining the HRA Plan's compliance with HIPAA; and
- If feasible, return or destroy all PHI received from the HRA Plan that the Company still maintains in any form, and retain no copies of the PHI, when the PHI is no longer needed for the purpose for which the disclosure was made (or if return or destruction is not feasible, limit further uses and disclosures to those purposes that make the return or destruction infeasible).

The Company may only disclose your PHI (or certain electronic PHI) to the following Company employees and may only do so to the extent that the Company employees perform HRA Plan administration functions:

- The Privacy Official;
- Employees in the Company's Human Resources Department;
- Employees in the Company's Office of General Counsel; and
- Any other class of employees designated in writing by the Privacy Official.

If a Company employee does not comply with the requirements of the Privacy Rule, then the Company may apply appropriate sanctions to the employee in order to ensure compliance with the Privacy Rule. If you become aware of any inappropriate use or improper disclosure of PHI, contact the Privacy Official immediately.

14(i) ERISA Rights Statement

The Employee Retirement Income Security Act of 1974 (ERISA) was enacted to help assure that all employer-sponsored group benefit programs conform to standards set by Congress. An employee, who is a Participant in the Plan is entitled to certain rights and protections under ERISA, which provides that all Participants will be entitled to: (1) examine, without charge, at the Plan Administrator's office and at other appropriate locations, all Plan documents and copies of documents filed with the U.S. Department of Labor, such as detailed annual reports and Plan descriptions; (2) obtain copies of all Plan documents and other Plan information upon written request to the Plan Administrator, subject to a reasonable charge for the copies; and (3) receive a summary of the Plan's annual financial report. The Plan Administrator is required by law to furnish each Participant with a copy of this summary annual report. Plan records are kept on a Plan year basis.

In addition to creating rights for plan Participants, ERISA imposes duties upon those responsible for the operation of the Plan who are called "fiduciaries" and who have a duty to operate the Plan prudently and in the interest of Participants and Beneficiaries. If a claim for a benefit is denied in whole or in part, the claimant must receive a written explanation of the reason for the denial. The claimant has the right to have the claim reviewed and reconsidered.

Under ERISA, there are steps the Employee covered under the Plan can take to enforce the above rights. For instance, if the person requests materials and does not receive them within 30 days, the person may file suit in a federal court. In such a case, the court may require the company to provide the materials and pay the person up to \$110 a day until the person receives the materials, unless the materials were not sent because of reasons beyond the Employer's control.

If a person has a claim for benefits which is denied or ignored, in whole or in part, the person may file suit in a state or federal court. If it should happen that plan fiduciaries misuse the Plan's money, or if the Employee covered under the Plan is discriminated against for asserting his or her rights, the person may seek assistance from the U.S. Department of Labor, or may file suit in federal court. The court will decide who should pay court costs and legal fees. If the claimant loses, the court may order the claimant to pay these costs and fees, for example, if it finds the claims to be frivolous.

If you have any questions about your Plan, you should contact the Plan Sponsor. If you have any questions about this statement or about your rights under ERISA, you should contact the nearest office of the Pension and Welfare Benefits Administration (PWBA), U.S. Department of Labor, listed in your telephone directory, or the Division of Technical Assistance and Inquiries, Pension and Welfare Benefits Administration, U.S. Department of Labor, 200 Constitution Avenue, N.W., Washington, D.C. 20210.

The rights reserved in the Plan for the Plan Sponsor to terminate, suspend, withdraw, amend or modify the Plan in whole or in part at any time, subject to the applicable provisions of the Plan.

Special Note: This is a Summary Plan Description only. Your specific rights to benefits under the Plan are governed solely, and in every respect by Company Health Reimbursement Arrangement Plan Document, a copy of which is available from the company upon your request (see Statement of ERISA Rights). If there is any discrepancy between the description of the Plan as contained in this material and the official Plan document, the language of the Plan document shall govern.

APPENDIX
HEALTH REIMBURSEMENT ARRANGEMENT
QUESTIONS AND ANSWERS

INTRODUCTION

Your Company (referred to in these questions and answers as the “Company” and named in Exhibit 1) is pleased to sponsor the Company Health Reimbursement Arrangement.

The Plan provides each eligible employee with the opportunity to receive from the Company reimbursement for specific medical expenses.

Following are commonly asked questions and answers describing the basic features of the Plan and how it operates. Please review these questions and answers carefully, and do not hesitate to ask questions. This is your benefit and it is important that you understand how it works and how it can help you. However, you should note that the questions and answers address only certain parts of the Plan. Consult the Plan document or Summary Plan Description (SPD) for more details.

QUESTIONS AND ANSWERS

1 What is the purpose of the Plan?

The purpose of the Plan is to permit eligible employees to receive reimbursement from the Company for specific medical expenses.

2 What benefits are offered through the Plan?

A Health Reimbursement Arrangement (HRA), which is explained in more detail below.

3 Who may participate in the Plan?

With respect to the HRA, eligibility requirements are specified in Schedule A.

4 How does the HRA benefit help me?

It is likely that you will have some medical expenses that you will have to pay for in the coming year. For example, you or your dependents will have medical expenses that are subject to deductible or co-payment limits under a health plan. You may incur expenses that are not reimbursed at all. Normally, you would pay for these expenses with out of pocket, after-tax income. And, because taxes reduce the value of a dollar, you would have to earn much more than \$100 to pay for \$100 of expenses.

The HRA under the Plan permits your employer to contribute to a health reimbursement arrangement account on your behalf. The HRA will reimburse you for specific medical expenses from funds contributed by your employer.

5 How much will my employer contribute to my HRA account?

Your employer will contribute a maximum amount outlined in Schedule A of the Summary Plan Description, plus unused amounts from prior Coverage Periods, if any. The maximum amount that can be carried forward to a later Coverage Period is specified in Schedule A.

6 How much will I be able to contribute to my HRA account?

Employees are not permitted to contribute to their HRA accounts. The accounts must be completely employer funded.

7 What is an “eligible expense” under the HRA?

An “eligible expense” means any item covered under the Code Section 213 of the IRS for which you have not otherwise been reimbursed from insurance or some other source and which is permitted by your Employer under the terms of the Plan. Schedules A and B of your Summary Plan Description list the types of expenses that are included and excluded as eligible expenses for your Plan. Participants who are enrolled in HSA Plans will have HRA options with limited “eligible expenses” as explained in this Summary Plan Description. It is specifically your responsibility regarding insurance premium reimbursement not to request anything that could violate the terms of your insurance policy.

8 How do I receive medical expense reimbursements under the Plan?

To receive a reimbursement for an eligible expense, you must complete a claim form within the time specified in Exhibit 1 and attach any other information or substantiation that the Plan Administrator requires. The Plan Administrator will instruct you as to how to file the form. When the claim is approved, you will be reimbursed on your eligible medical expense, up to the amount of funds available in your HRA account.

9 What happens to the money in my HRA account if I terminate?

You may submit claims on expenses incurred before the date of your termination, during the time period specified in Exhibit 1. If you elect continuation coverage through COBRA, you may continue to use your HRA account while you are an actively participating in COBRA. If your HRA account was fully vested you may continue to submit claims until your account is exhausted or you may elect to take the balance as taxable income.

10 What happens to the unused funds in my HRA account at the end of the Plan year?

Rollover of the unused funds in your account to the next Plan Year is specified in Schedule A.

11 How long do I have after the Plan Year ends to submit my claims?

The period in which you may submit claims after the Plan Year ends is listed in Exhibit 1. Note that a separate time limit may also apply to employees who have been terminated from the plan; see Exhibit 1.

12 Are my Plan benefits taxable?

Under current law, the benefits you receive under the Plan are not currently taxable to you, nor are the benefits subject to federal income tax withholding and Social Security withholding taxes.

13 Can I change my covered dependents during the Plan Year?

Yes, you may make changes under your HRA account during the Coverage Period.

14 Who holds the funds my employer has set aside under the Plan?

Amounts your employer contributes to your HRA will be retained by the Company. Separate bookkeeping entries will be maintained to keep track of your HRA benefits.

15 When will my participation in the plan cease?

Your participation will continue until you separate from service with the Company or if the Plan is terminated by your employer. If your employment status changes so that you do not meet participation requirements specified in Schedule A, your participation in the Plan will cease.

However, you may be eligible for continuation coverage under this Plan. You may also be eligible for continued benefits if your account is vested.

16 What is continuation coverage?

Unless otherwise specified by the terms of this Plan, if you terminate employment you, your spouse, and/or your covered dependents lose coverage under this Plan. You, your spouse, and/or your covered dependents may be entitled to continuation of health care coverage. See the Summary Plan Description or Plan Document for more details about COBRA.

17 When will my account be fully vested?

Vesting options are specified in Schedule A of this Summary Plan Document.

18 Will I have any administrative costs under the Plan?

Costs for administering the Plan are paid by the entity specified in Schedule A.

19 How long will the Plan remain in effect?

The Company has the right to modify or terminate the program at any time, or to elect not to continue sponsorship of the Plan.

20 Will the claims information I submit to my Plan Administrator be kept private?

Yes, HIPAA Privacy Rules require that all Protected Health Information (PHI) given to the Plan Administrator be kept completely confidential.

21 What happens if my claim for benefits is denied?

If your claim for benefits is denied, then you have the right to be notified of the denial and to appeal the denial, both within certain time limits. The rules regarding denied claims for benefits under the HRA Plan are discussed below.

21(a) When must I receive a decision on my claim?

Decisions regarding claims submitted will be communicated by the Plan Supervisor within the time period specified in Exhibit 1.

21(b) What information will a notice of denial of a claim contain?

If your claim is denied, the Plan Administrator may provide the following information:

- The specific reason for the denial;
- A reference to the specific HRA Plan provision(s) on which the denial is based;
- A description of any additional material or information necessary for you to perfect your claim and an explanation of why such material or information is necessary;
- A description of the HRA Plan's review procedures and the time limits applicable to such procedures, including a statement of your right to bring a civil action under ERISA § 502(a) following a denial on review; and
- If the Plan Administrator relied on an internal rule, guideline, protocol, or similar criteria in making its determination, either a copy of the specific rule, guideline, or protocol, or a statement that such a rule, guideline, protocol, or similar criterion was relied upon in making the determination and that a copy of such rule, guideline, protocol, or similar criterion will be provided to you free of charge upon request.

21(c) Do I have the right to appeal a denied claim?

Yes, you have the right to appeal the Plan Administrator's denial of your claim.

21(d) What are the requirements of my appeal?

Your appeal must be in writing, must be provided to the Plan Administrator, and must include the following information:

- Your name and address;
- The fact that you are disputing a denial of a claim or the Plan Administrator's act or omission;
- The date of the notice that the Plan Administrator informed you of the denied claim; and
- The reason(s), in clear and concise terms, for disputing the denial of the claim or the Plan Administrator's act or omission.

You should also include any documentation that you have not already provided to the Plan Administrator.

21(e) Is there a deadline for filing my appeal?

Yes. Your appeal must be delivered to the Plan Administrator within 180 days after receiving the denial notice or the Plan Administrator's act or omission.

If you do not file your appeal within this 180-day period, you lose your right to appeal. Your appeal will be heard and decided by the Committee.

21(f) How will my appeal be reviewed?

Anytime before the appeal deadline, you may submit copies of all relevant documents, records, written comments, and other information to the Committee. The HRA Plan is required to provide you with reasonable access to and copies of all documents, records, and other information related to the claim. When reviewing your appeal, the Plan Administrator will take into account all relevant documents, records, comments, and other information that you have provided with regard to the claim, regardless of whether or not such information was submitted or considered in the initial determination.

The appeal determination will not afford deference to the initial determination and will be conducted by a fiduciary of the HRA Plan who is neither the individual who made the original determination nor an individual who is a subordinate of the individual who made the initial determination.

21(g) When will I be notified of the decision on my appeal?

The Committee must notify you of the decision on your appeal within 60 days after receipt of your request for review.

21(h) What information is included in the notice of the denial of my appeal?

If your appeal is denied, the notice that you receive from the Committee will include the following information:

- The specific reason for the denial upon review;
- A reference to the specific HRA Plan provision(s) on which the denial is based;
- A statement providing that you are required to receive, upon request and free of charge, reasonable access to and copies of all documents, records, and other information relevant to your claim for benefits;
- If an internal rule, guideline, protocol, or similar criterion was relied upon in making the review determination, either the specific rule, guideline, or protocol, or a statement that such a rule, guideline, protocol, or similar criterion was relied upon in

- making the review determination and that a copy of such rule, guideline, protocol, or similar criterion will be provided to you free of charge upon request; and
- A statement of your right to bring a civil action under ERISA § 502(a).

21(i) Do I have the right to seek a review of a denied claim to an external third party?

You have the right to an external review of the Plan Administrator's denial of your internal appeal unless the Benefit denial was based on your (or your Spouse's or Dependent's) failure to meet the HRA Plan's eligibility requirements.

21(k) Is there a deadline for filing my external appeal?

Yes. Your external appeal must be filed with the external reviewer within 4 months of the date you were served with the Plan Administrator's response to your internal appeal request. If you do not file your appeal within this 4-month period, you lose your right to appeal.

No action may be brought against the Plan, the Employer, the Plan Administrator, or any other entity to whom administrative or claims processing functions have been delegated until you first follow the above claim procedures and receive a final determination from the Plan Administrator.